

I have personally met people, who, because of their ignorance on tax planning, withdrew money from their investment vehicles and lost anywhere between 10% to 30% of their money just because of incorrect timing of withdrawals. Getting smarter with withdrawals can really save you a lot of money. And, as we studied earlier, every penny saved is 5 pennies earned.

Mutual Funds usually use the Systematic Investment Plan (SIP) method to invest. If you have to use your invested money at some stage of life, a little bit of awareness on the tax slabs on Capital Gains will help you save a lot of unnecessary taxes.

Below Fig 8.1 depicts how mutual funds would be taxed in a typical investment (SIP) and withdrawal (SWP) scenario. Obviously, withdrawals after completing 12 months of investment saves you 15% tax.

Investment Date	Invested Amount	Current Value	Withdrawal Date	Gains	Long Term / Short Term	Applicable Tax %	Applicable Tax Amt
10-Jan-14	5,000	7,500	12-Apr-15	2,500	Long Term	0%	0
10-Feb-14	5,000	7,300	12-Apr-15	2,300	Long Term	0%	0
10-Mar-14	5,000	7,320	12-Apr-15	2,320	Long Term	0%	0
10-Apr-14	5,000	6,700	12-Apr-15	1,700	Long Term	0%	0
10-May-14	5,000	7,400	12-Apr-15	2,400	Short Term	15%	360
10-Jun-14	5,000	7,200	12-Apr-15	2,200	Short Term	15%	330
10-Jul-14	5,000	7,000	12-Apr-15	2,000	Short Term	15%	300
10-Aug-14	5,000	7,100	12-Apr-15	2,100	Short Term	15%	315
10-Sep-14	5,000	6,800	12-Apr-15	1,800	Short Term	15%	270
10-Oct-14	5,000	6,780	12-Apr-15	1,780	Short Term	15%	267
10-Nov-14	5,000	6,500	12-Apr-15	1,500	Short Term	15%	225
10-Dec-14	5,000	6,700	12-Apr-15	1,700	Short Term	15%	255
10-Jan-15	5,000	6,500	12-Apr-15	1,500	Short Term	15%	225
10-Feb-15	5,000	6,400	12-Apr-15	1,400	Short Term	15%	210
10-Mar-15	5,000	6,200	12-Apr-15	1,200	Short Term	15%	180
10-Apr-15	5,000	6,000	12-Apr-15	1,000	Short Term	15%	150
10-May-15	5,000	5,800					
10-Jun-15	5,000	5,500					
10-Jul-15	5,000	5,200					
Realised Gain				29,400		Total Tax Amt	3,087

Fig 8.1 : Mutual Fund SIP Taxation

Provident Fund withdrawal before putting in 5 years of service becomes taxable. So, be careful. If you need funds urgently, better harp on your Fixed Deposits, Recurring Deposits, Savings, Family Loans, etc.

Educational expenses for children